MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS)
FIFTH SEMESTER EXAMINATION- MODEL QUESTION PAPER
(2024 ADMISSION ONWARDS)
MG5DSCCOM302-FINANCIAL MANAGEMENT

Duration: 2 hours Maximum marks: 70

Remember (K),Understand(U),Apply (A),Analyse(An),Evaluate(E),Create (C) ,Skill (S),Interest (I) and Appreciation (Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability

PART A

Very short questions

Answer any 12 questions

Each question carries 1 mark

1. Wealth maximisation considers ----------while taking financial decisions (CO1, U)

2. In an ordinary annuity, payments occur at the ---------- of each period (CO1, U)

3. Give two examples of explicit costs (CO1, U)

4. WACC is the weighted average of the ----------costs of various sources of finance (CO1, U)

5. Differentiate Capitalisation and Capital structure (CO2, U)

6. Define Optimum Capital Structure (CO2, U)

7. What is scrip dividend? (CO2, U)

8. Compute dividend payout ratio if dividend distributed is Rs.2,00, 000 ; Net earnings after tax is Rs. 8,00,000 and shareholders' equity is Rs.10,00,000 (CO2,A)

9. What is the relationship between EBIT and EPS? (CO3, U)

10. Write a note on trading on equity. (CO3, U)

11. What is financial break even point? (CO3, U)

12. What is capital rationing? (CO4, U)

13. ---------- refers to the net cash inflow received at the end of a project's life (CO4, U)

14. A profitability index of 1.30 means that every Re 1 invested generates present value benefits of Rs……. (CO4, U)

[12 x 1 =12]

PART B

Short answer questions

Answer any 4 questions

Each question carries 7 marks

15. Why is shareholder wealth maximisation considered superior to profit maximisation? (CO1, U)

16. (a)An investor deposits Rs.100 in a bank account for 5 years at 8 percent interest. Find the amount which he will have in his account if interest is compounded annually?

(b) Calculate the present value of the annuity consisting of cash inflows of Rs.1000 per year for 5 years at 10 percent rate of interest (CO1, A)

17. Explain the consequences and remedies of overcapitalisation (CO2, U)

18. Calculate operating, financial and combined leverages for Plan I and Plan II from the following information (CO3, An)

Total assets	Rs.30,00,000	
Total assets turnover (Sales / total assets)	2 times	
Variable cost on sales	60%	
Fixed costs	Rs.1,00,000	
Capital structure :	Plan I	Plan II
Equity share capital	3,00,000	1,00,000
10% debentures	1,00,000	3,00,000

19. What is IRR? Explain the conflicts between NPV and IRR. (CO4, U)

20. Compute the duration of operating cycle from the following information (CO2, An)

Stocks:	Raw material	Rs. 40,000
	Work in progress	Rs. 30,000
	Finished goods	Rs. 25,000
Purchase/consumption of raw material		Rs. 1, 60,000
Cost of goods produced/sold		Rs. 3, 00,000
Sales (all on credit)		Rs. 3,60,000
Debtors		Rs. 72,000
Creditors		Rs. 20,000

Assume 360 days per year for computational purposes.

[4 x7 =28]

PART C

Essay questions

Answer any 2 questions

Each question carries 15 marks

21. A paper company has the following specific cost of capital along with the indicated book value and market value weights (CO1,A)

Type of capital	Cost (%)	Book value weights (%)	Market value weights (%)
Long term debt	5	30	25
Preference shares	10	20	17
Equity shares	12	40	46
Retained earnings	12	10	12

Calculate the weighted average cost of capital using book value and market value weights.

22. Explain the various factors which influence the dividend decisions of a firm. (CO2, U)

23. Calculate Internal Rate of Return (C04, An)

Initial investment	Rs.60, 000
Life of the asset	4 years
Estimated net annual cash flows:	
1st year	Rs. 15,000
2nd year	Rs. 20,000
3rd year	Rs. 30,000
4th year	Rs. 20,000

[2 x 15 =30]